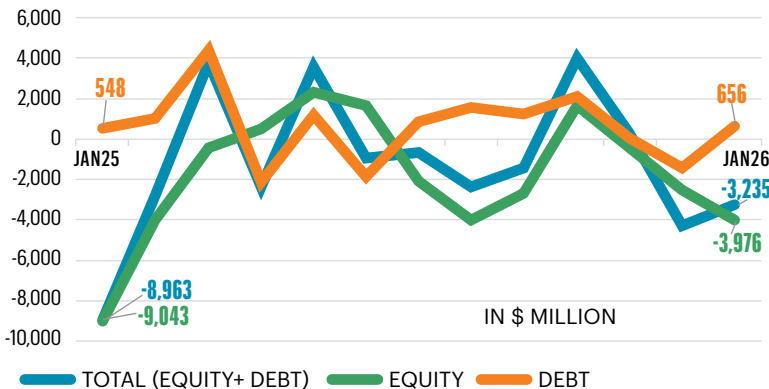
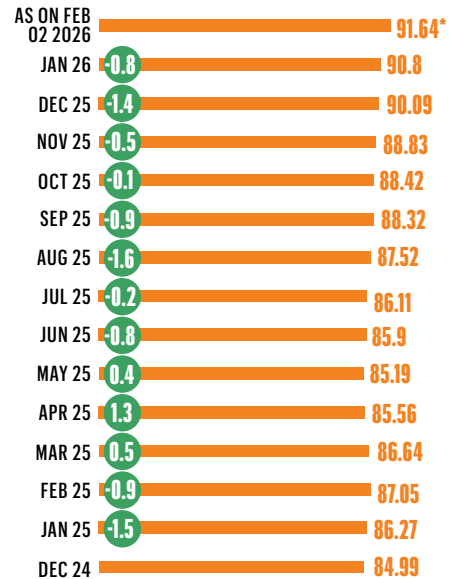


INVESTOR SENTIMENT

- The uncertainty over tariffs led to FII outflows over the last several months
- The latest trade deals are expected to reverse the trend



- The rupee has fallen over 6.8% against the US dollar between December 2024 and January 2026
- One trigger has been the sell-off by FIIs



■ RUPEE PER \$ (MONTHLY AVERAGE)

■ M-O-M APPRECIATION/DEPRECIATION (-) % CHANGE

RBI REFERENCE EXCHANGE RATE OF INDIAN RUPEE AGAINST US DOLLAR

SOURCE CMIE ECONOMIC OUTLOOK, NSDL

34 |



Manoj Mishra, Partner and Tax Controversy Management Leader, Grant Thornton Bharat for Consumer Products, says the interim India-US trade deal could translate into wider choice for consumers and more competitive pricing.

“India’s decision to cut duties on products such as cosmetics, medicines, medical devices, hearing aids, and alcoholic beverages are likely to lower import costs and improve access to global brands and advanced products. At the same time, the US opening its market to processed food items from India, including jams and juices, creates new growth opportu-

nities for Indian FMCG and food brands,” he says.

These deals could boost FY27 GDP growth, which is expected in the range of 6.8-7.2%, as per the Economic Survey. Chief Economic Adviser V Anantha Nageswaran says India may grow faster than expected with the reduction in US tariffs. Reserve Bank of India Governor Sanjay Malhotra has said that the India-EU FTA and the prospective India-US trade deal along with several other trade agreements will support exports over the medium term.

BoFA Global Research says the

deal could increase India’s GDP growth by 20-50 basis points and push its “GDP projections from 6.8% to meaningfully above 7%.”

Hermann of Oxford Economics says the US deal could add around 0.2 percentage points to GDP growth. “India’s broader export performance has so far taken last year’s tariff hike largely in its stride, helped by a surge in electronics demand. The biggest beneficiaries now should be gems and jewellery, chemicals, and textiles, sectors that saw US shipments drop sharply and are finally getting some breathing room,” she says.